Unit 7

Intrapreneurship

3 Slibraries · 15 framework sheets

Internal Incubator

SLIBRARY 19 · SHEET 1 / 5

Corporate resources, insulated team — high strategic fit, moderate speed

PROFESSIONAL DEFINITION

An Internal Incubator is a corporate venture model in which an established firm hosts entrepreneurial ventures inside its own organisation, providing capital, infrastructure and expertise while insulating the venture team from corporate governance overhead. Strategic fit is high (the venture aligns with parent strategy), but speed is moderate (corporate processes slow execution). Best-known examples include Lockheed's Skunk Works (origin), 3M's New Ventures Division, and Google's X (Pinchot, 1985; Chesbrough, 2002).

WHO DEVELOPED IT

The internal-incubator model was named by Gifford Pinchot in *Intrapreneuring* (1985), drawing on observed practice at 3M, GE, and Lockheed. Henry Chesbrough's research at HBS in the early 2000s formalised the typology of corporate venture models, with internal incubator as one type.

WHY IT WAS DEVELOPED

Corporations had cash and assets but lost innovation to startups whose autonomy and speed they could not match. Pinchot argued internal-incubator structures preserved strategic alignment while granting enough autonomy to attract entrepreneurial talent — closing the speed-and-fit gap.

FIGURE 1 · STRATEGIC-FIT × SPEED

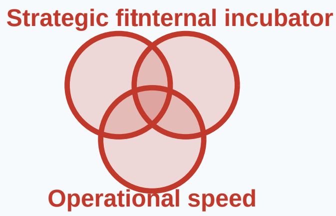

Figure 1. Internal incubators trade some speed for strategic alignment; the structural design balances both.

HOW IT IS USED

Establish a separate physical and reporting structure. Recruit from within for entrepreneurial-leaning talent. Set milestone-based stage gates with corporate sponsor. Insulate from non-incubator HR and procurement processes. Graduate successful ventures to operating divisions.

WHEN IT IS USED

Use when ventures align with core strategy, when corporate IP or distribution is a meaningful advantage, in mature firms seeking organic growth, and when external acquisitions are unattractive.

BY WHOM IT IS USED

Corporate-strategy and innovation leaders, divisional CEOs sponsoring internal ventures, HR business partners managing dual-track talent, and intrapreneurs leading specific ventures inside large firms.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Schumpeter (1942) framed corporations as obstacles to creative destruction and Christensen (1997) argued large firms structurally fail at disruptive innovation, Pinchot's contribution is the internal-incubator answer — a structure preserving entrepreneurial dynamics inside the parent. Building on Lockheed's (1943) Skunk Works precedent, it became one of five canonical models.

RELATED FRAMEWORKS IN THIS COURSE

Corporate Accelerator · Slibrary 19
Venture Studio · Slibrary 19
Skunk Works Model · Slibrary 20
Stage-Gate Process · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Pinchot, G. (1985) *Intrapreneuring: Why You Don't Have to Leave the Corporation to Become an Entrepreneur*. New York: Harper & Row.
Chesbrough, H.W. (2002) 'Making Sense of Corporate Venture Capital', *Harvard Business Review*, 80(3), pp. 90–99.
Christensen, C.M. (1997) *The Innovator's Dilemma*. Boston: Harvard Business School Press.
Block, Z. and MacMillan, I.C. (1993) *Corporate Venturing*. Boston: Harvard Business School Press.

Corporate Accelerator

SLIBRARY 19 · SHEET 2 / 5

Cohort-based, fixed term, demo day — seed-stage external startups

PROFESSIONAL DEFINITION

A Corporate Accelerator is a fixed-term (typically 10–13 weeks) cohort programme in which an established firm hosts external seed-stage startups, providing mentorship, infrastructure and small capital in exchange for equity and strategic relationships. The accelerator format imports Y Combinator's mechanics into corporate contexts. Famous examples include Telefónica's Wayra, Microsoft's accelerator, and Disney's accelerator. Strategic-fit is moderate; market intelligence is high (Weiblen and Chesbrough, 2015).

WHO DEVELOPED IT

Y Combinator (Paul Graham, 2005) invented the standalone accelerator format; corporate adaptation was pioneered by Telefónica's Wayra (2011) and codified academically by Tobias Weiblen and Henry Chesbrough in their 2015 *California Management Review* paper on engaging with startups.

WHY IT WAS DEVELOPED

Corporates wanted access to external startup innovation but acquisitions were expensive and risky. The accelerator model gave them low-cost early access — small equity stakes plus strategic relationships — to dozens of seed-stage companies they could partner with, invest in, or acquire as appropriate.

FIGURE 1 · ACCELERATOR CYCLE

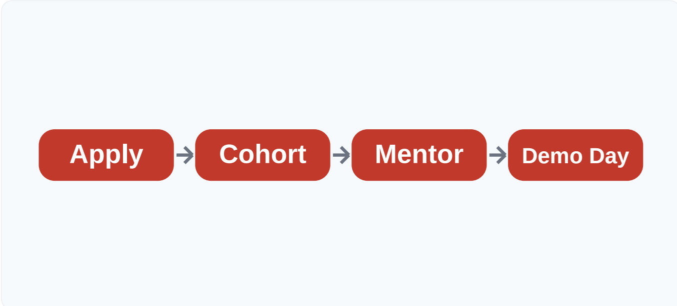

Figure 1. Fixed-term cohort delivers structured engagement at low marginal capital cost. Adapted from Weiblen & Chesbrough (2015).

HOW IT IS USED

Design a 10–13 week curriculum. Select 5–10 startups per cohort. Deploy small ($25K–$120K) seed checks. Provide corporate mentors, sandbox access, and partnership-pilot opportunities. Demo Day exits each cohort. Iterate cohorts annually.

WHEN IT IS USED

Use when external startup innovation is strategically interesting, when corporate IP/distribution offers value to startups, in industries facing platform-shift threats, and as a market-intelligence and partnership-pipeline mechanism.

BY WHOM IT IS USED

Corporate-innovation leaders, business-development teams, accelerator programme directors, and venture-arm leaders inside large firms.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Y Combinator's (2005) standalone accelerator created the format and corporate venture capital (1960s–) provided equity-only engagement, the Corporate Accelerator's contribution is the structured-cohort + small-equity + strategic-partnership combination. Building on Block and MacMillan's (1993) corporate-venturing tradition, it became standard by 2015.

RELATED FRAMEWORKS IN THIS COURSE

- Internal Incubator · Slibrary 19
- Venture Studio · Slibrary 19
- 10-Week Accelerator · Slibrary 20
- Demo Day · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Weiblen, T. and Chesbrough, H.W. (2015) 'Engaging with Startups to Enhance Corporate Innovation', *California Management Review*, 57(2), pp. 66–90.
Kohler, T. (2016) 'Corporate Accelerators: Building Bridges Between Corporations and Startups', *Business Horizons*, 59(3), pp. 347–357.
Graham, P. (2007) 'Why Y Combinator', *paulgraham.com*.
Chesbrough, H.W. (2002) 'Making Sense of Corporate Venture Capital', *Harvard Business Review*, 80(3), pp. 90–99.

Venture Studio

SLIBRARY 19 · SHEET 3 / 5

Studio generates ideas internally, spins out ventures with dedicated founders

PROFESSIONAL DEFINITION

A Venture Studio is a corporate venture model in which the parent (or independent studio) generates venture ideas internally, recruits external entrepreneurs to lead each one, and spins them out as separate companies. Famous examples: Idealab (Bill Gross), Atomic, Rocket Internet, BCG Digital Ventures, and Solaris (Allianz). The studio captures equity in each spin-out; the entrepreneur receives founder economics. Studios scale founder talent rather than founder ideas (Szigeti, 2019).

WHO DEVELOPED IT

Bill Gross's Idealab (1996) pioneered the model; the format was institutionalised through firms like Rocket Internet (Samwer brothers, 2007), Atomic (Jack Abraham, 2012), and corporate adaptations like BCG Digital Ventures (2014). Attila Szigeti's *Startup Studio Playbook* (2019) is the dominant practitioner reference.

WHY IT WAS DEVELOPED

Both incubators (in-house teams, often less entrepreneurial) and accelerators (cohorts of external teams, less aligned with parent) had limitations. The studio model produces ideas in-house but staffs each with a dedicated external entrepreneur — combining strategic fit with entrepreneurial drive.

FIGURE 1 · STUDIO PIPELINE

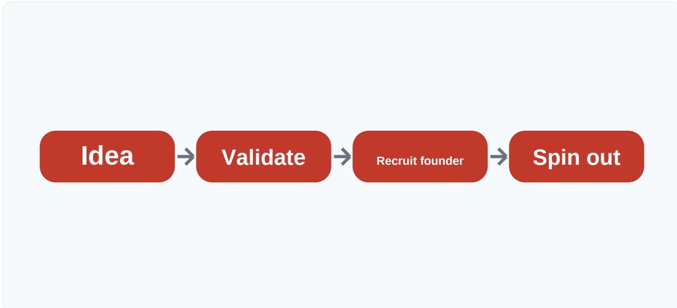

Figure 1. The studio scales founder talent against a stream of in-house-validated ideas.

HOW IT IS USED

Idea-generate inside studio (continuous, structured). Validate top candidates. Recruit a dedicated entrepreneur for the most validated venture. Spin out as a separate company with studio retaining 20–80% equity (varies). Raise external capital subsequently.

WHEN IT IS USED

Use when the parent has strong idea-generation capability but lacks entrepreneurial talent, when ventures need legal/financial separation from parent, in private-equity-backed innovation portfolios, and in serial-entrepreneur exit-and-rebuild contexts.

BY WHOM IT IS USED

Studio principals, corporate-strategy leaders sponsoring corporate studios, serial entrepreneurs partnering as venture leaders, and venture-capital partners co-investing alongside studios.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Pinchot's (1985) internal incubators kept ventures inside the parent and Y Combinator (2005) accelerated external startups, the Venture Studio's contribution is the in-house-idea + spun-out-venture combination. Building on Schumpeter's (1942) entrepreneurial-firm theory, it scales founder talent rather than founder ideas.

RELATED FRAMEWORKS IN THIS COURSE

- Internal Incubator · Slibrary 19
- Corporate Accelerator · Slibrary 19
- Spin-out / Spin-in · Slibrary 19
- Sponsor-Engineer Model · Slibrary 20

SOURCES (HARVARD REFERENCING STYLE)

Szigeti, A. (2019) *Startup Studio Playbook*. Self-published.
Pena, R. (2020) 'The Rise of the Startup Studio', *Harvard Business Review* (online).
Chesbrough, H.W. (2002) 'Making Sense of Corporate Venture Capital', *Harvard Business Review*, 80(3), pp. 90–99.
Block, Z. and MacMillan, I.C. (1993) *Corporate Venturing*. Boston: Harvard Business School Press.

Corporate VC (CVC)

SLIBRARY 19 · SHEET 4 / 5

Equity investment in external startups for strategic, not just financial, return

PROFESSIONAL DEFINITION

Corporate Venture Capital (CVC) is equity investment in external startups by an established corporation, pursuing strategic-information returns alongside financial ones. CVC arms differ from independent VCs: their mandate often includes commercial-partnership leverage, market-intelligence access, and acquisition-pipeline development. Famous examples include Intel Capital (1991, the original modern CVC), Google Ventures (2009), and Salesforce Ventures (2009). CVC outperforms passive M&A; in many corporate-innovation portfolios (Chesbrough, 2002; Dushnitsky and Lenox, 2005).

WHO DEVELOPED IT

Modern CVC traces to Intel Capital (1991, Avram Miller); academic synthesis was provided by Henry Chesbrough's 2002 *Harvard Business Review* article "Making Sense of Corporate Venture Capital" and by Dushnitsky and Lenox's empirical work on CVC investment patterns.

WHY IT WAS DEVELOPED

Corporates invested in startups opportunistically without a coherent CVC strategy; results were inconsistent. Chesbrough's typology distinguished four CVC investment strategies (driving, emergent, enabling, passive), each appropriate in different conditions, professionalising CVC as a deliberate management discipline.

FIGURE 1 · CHESBROUGH'S CVC TYPES

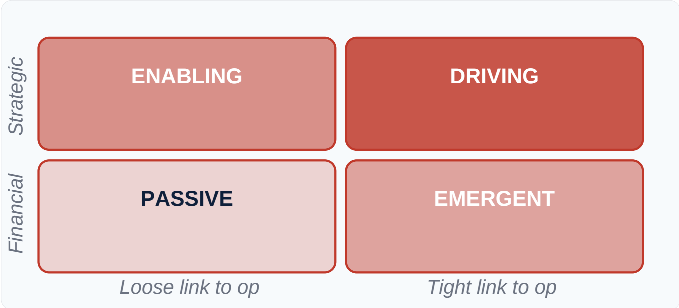

Figure 1. Four CVC types match different mandates; matching investment to type is the discipline. Adapted from Chesbrough (2002).

HOW IT IS USED

Establish CVC arm with explicit strategic and financial mandate. Set portfolio-allocation policy (driving vs emergent investments). Build syndication relationships with independent VCs. Track returns separately for strategic vs financial outcomes.

WHEN IT IS USED

Use when external startups offer strategic-relevance value, in industries facing platform-shift risks, in mature firms seeking organic growth, and as a market-intelligence and acquisition-pipeline mechanism.

BY WHOM IT IS USED

Corporate development leaders, CVC fund managers, corporate strategy teams, business-development executives, and CFOs structuring CVC mandates.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where independent venture capital (Doriot, 1946) sought purely financial returns and pure M&A; consumed full-firm capital, CVC's contribution is the strategic-plus-financial dual mandate at sub-acquisition stake sizes. Building on Block and MacMillan's (1993) corporate-venturing literature, Chesbrough's (2002) typology gave CVC its current form.

RELATED FRAMEWORKS IN THIS COURSE

- Spin-out / Spin-in · Slibrary 19
- Corporate Accelerator · Slibrary 19
- Innovation Outpost · Slibrary 20
- Internal Term Sheet · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Chesbrough, H.W. (2002) 'Making Sense of Corporate Venture Capital', *Harvard Business Review*, 80(3), pp. 90–99.
Dushnitsky, G. and Lenox, M.J. (2005) 'When Do Incumbents Learn from Entrepreneurial Ventures?', *Research Policy*, 34(5), pp. 615–639.
Lerner, J. (2013) 'Corporate Venturing', *Harvard Business Review*, 91(10), pp. 86–94.
Block, Z. and MacMillan, I.C. (1993) *Corporate Venturing*. Boston: Harvard Business School Press.

Spin-out / Spin-in

SLIBRARY 19 · SHEET 5 / 5

Start inside, spin out, optionally re-acquire if it wins

PROFESSIONAL DEFINITION

Spin-out / Spin-in is a corporate venture model in which a venture is developed inside the parent, then spun out as an independent company (with parent retaining minority equity), and — if the venture succeeds — re-acquired ("spun in") at a later valuation. The model resolves the speed-vs-fit tension: spin-outs gain entrepreneurial autonomy and external capital while preserving the parent's option to re-internalise if the venture proves strategic. Cisco's 1990s–2000s practice is the canonical example (Chesbrough and Tucci, 2002; Burgelman, 1983).

WHO DEVELOPED IT

The spin-out tradition has roots in Burgelman's (1983) corporate-venturing research at Stanford; Cisco systematised the spin-out / spin-in cycle through the late 1990s and 2000s under John Chambers, with formal academic treatment by Chesbrough and Tucci (2002).

WHY IT WAS DEVELOPED

Internal ventures suffered from corporate processes; full external spin-outs lost strategic alignment. The spin-out + optional spin-in cycle created a pre-committed re-acquisition path that preserved both entrepreneurial speed and re-integration optionality.

FIGURE 1 · SPIN-OUT / SPIN-IN CYCLE

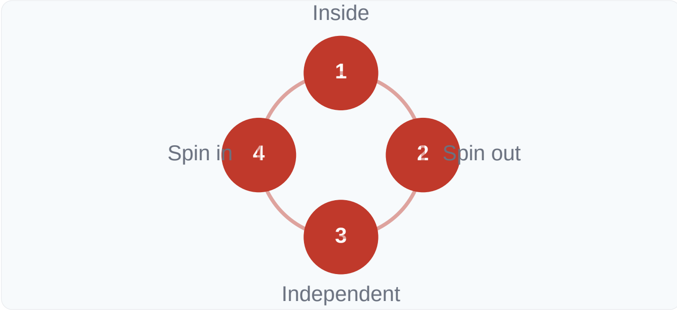

Figure 1. The cycle preserves entrepreneurial speed externally with re-internalisation optionality.

HOW IT IS USED

Structure the spin-out with parent retaining minority equity and a board seat. Pre-negotiate spin-in terms (right of first refusal, valuation methodology). Allow venture to raise external capital and grow independently. Spin in at strategic-fit milestone or competitive trigger.

WHEN IT IS USED

Use when ventures need entrepreneurial speed beyond what corporate processes allow, when external capital is available and welcome, in industries with rapid platform shifts, and when the parent has acquisition track record.

BY WHOM IT IS USED

Corporate-development leaders, corporate-strategy teams, venture-arm directors, M&A; integration teams, and accelerator programme directors with formal spin-out exit paths.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Burgelman's (1983) corporate-venturing literature treated spin-outs as a one-way exit and pure M&A; required full external acquisition at market price, Chesbrough and Tucci's contribution is the spin-out + pre-committed spin-in cycle. Building on real-options theory (Trigeorgis, 1996), it gives corporates an option-preserving venture mechanism.

RELATED FRAMEWORKS IN THIS COURSE

- Corporate VC (CVC) · Slibrary 19
- Internal Incubator · Slibrary 19
- Venture Studio · Slibrary 19
- Internal Term Sheet · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Chesbrough, H.W. and Tucci, C.L. (2002) 'Corporate Venture Capital in the Context of Corporate Innovation', *SSRN Working Paper*.

Burgelman, R.A. (1983) 'A Process Model of Internal Corporate Venturing in the Diversified Major Firm', *Administrative Science Quarterly*, 28(2), pp. 223–244.

Lerner, J. (2013) 'Corporate Venturing', *Harvard Business Review*, 91(10), pp. 86–94.

Trigeorgis, L. (1996) *Real Options: Managerial Flexibility and Strategy in Resource Allocation*. Cambridge, MA: MIT Press.

Skunk Works Model

SLIBRARY 20 · SHEET 1 / 5

Small, autonomous, insulated team — Lockheed's original

PROFESSIONAL DEFINITION

The Skunk Works Model is the original archetype of corporate intrapreneurship: a small (typically 25–100 people), highly autonomous, physically separated team given a difficult innovation challenge, freedom from corporate process, and a senior sponsor who shields the team from organisational antibodies. The model traces to Kelly Johnson's Lockheed Advanced Development Programs in 1943 and has been replicated across industries — informally and formally — for eight decades (Rich and Janos, 1994).

WHO DEVELOPED IT

Kelly Johnson at Lockheed in 1943, originally to design the P-80 jet fighter in 143 days. The 14 "Skunk Works rules" were codified by Johnson and operationalised by his successor Ben Rich; documented for the broader management audience in Rich and Janos's *Skunk Works* (1994).

WHY IT WAS DEVELOPED

Wartime Lockheed needed jet fighters faster than its standard 18-month design process allowed. Johnson argued — and demonstrated — that a small autonomous team operating outside corporate process could deliver in months what the parent organisation produced in years. The principle generalised across industries.

FIGURE 1 · SKUNK WORKS TRINITY

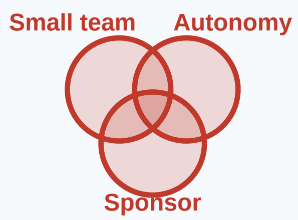

Figure 1. Three structural conditions; without all three, the team reverts to corporate norms.

HOW IT IS USED

Apply Johnson's 14 rules: small team (especially engineers), few reporting requirements, single project leader with full authority, physical isolation, protected from corporate review processes, customer-direct relationship, and rigorous milestone discipline within the autonomy.

WHEN IT IS USED

Use for breakthrough innovation requiring speed and concentration, in defence-and-aerospace contexts, in technology platform shifts, and as the structural pattern beneath most modern corporate-innovation labs.

BY WHOM IT IS USED

R&D; directors, innovation leaders, project sponsors needing breakthrough innovation, and anyone designing structurally separated innovation teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where pre-1943 corporate R&D; operated through the standard hierarchy, Johnson's contribution is the structurally-separated, sponsor-protected, rule-bound autonomous team. Building on Taylor's (1911) scientific-management tradition by inverting it, the Skunk Works rules became the template for every later corporate innovation lab.

RELATED FRAMEWORKS IN THIS COURSE

- Ambidextrous Organisation · Slibrary 20
- Sponsor-Engineer Model · Slibrary 20
- Internal Incubator · Slibrary 19
- Innovation Outpost · Slibrary 20

SOURCES (HARVARD REFERENCING STYLE)

Rich, B.R. and Janos, L. (1994) *Skunk Works: A Personal Memoir of My Years at Lockheed*. New York: Little, Brown.
Miller, J. (1995) *Lockheed Martin's Skunk Works*. North Branch: Specialty Press.
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Taylor, F.W. (1911) *The Principles of Scientific Management*. New York: Harper & Brothers.

Ambidextrous Organisation

SLIBRARY 20 · SHEET 2 / 5

Exploit the core, explore the new — structurally separated

PROFESSIONAL DEFINITION

Charles O'Reilly and Michael Tushman's Ambidextrous Organisation framework argues that mature firms can sustain innovation only by structurally separating *exploitation* (operating the existing business efficiently) from *exploration* (developing new businesses). Each requires fundamentally different metrics, cultures, leadership styles and time horizons; mixing them inside one structure systematically destroys the explorative side. Ambidextrous structures protect exploration through structural and senior-leadership decoupling (O'Reilly and Tushman, 2004; 2016).

WHO DEVELOPED IT

Charles A. O'Reilly III (Stanford GSB) and Michael L. Tushman (Harvard Business School), in their 2004 *Harvard Business Review* article "The Ambidextrous Organization" and elaborated in *Lead and Disrupt* (2016). Built on March's (1991) original exploration/exploitation distinction.

WHY IT WAS DEVELOPED

Christensen's (1997) innovator's dilemma described the problem (large firms structurally fail at disruptive innovation) but offered no solution. O'Reilly and Tushman's contribution was the prescriptive answer: structural separation, senior-leadership integration, common values, allowing exploration to develop without being killed by exploitation's demands.

FIGURE 1 · EXPLOIT × EXPLORE

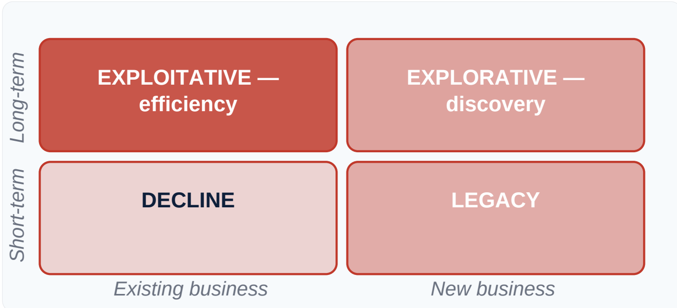

Figure 1. The two modes require different structures; mixing them inside one unit destroys exploration. Adapted from O'Reilly & Tushman (2004).

HOW IT IS USED

Establish exploitative and exploratory units as separate organisational structures with different metrics, cultures and resources. Connect at the senior-leadership level so cross-unit knowledge flows. Protect exploration's longer time horizons and tolerance for failure.

WHEN IT IS USED

Use when designing corporate-innovation portfolios, in transformation programmes, in M&A; integration of innovative targets, and as the structural pattern for hosting disruptive ventures inside mature firms.

BY WHOM IT IS USED

C-suite leaders sponsoring innovation, corporate-strategy teams, organisational-design consultants, and HR leaders managing dual-track talent and culture.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where March (1991) named exploration/exploitation as competing organisational pressures and Christensen (1997) explained why disruption defeated incumbents, O'Reilly and Tushman's contribution is the prescriptive structural answer. Building on Lawrence and Lorsch's (1967) differentiation-and-integration tradition, it gives intrapreneurship its dominant design pattern.

RELATED FRAMEWORKS IN THIS COURSE

- Skunk Works Model · Slibrary 20
- Internal Incubator · Slibrary 19
- Innovation Outpost · Slibrary 20
- Sponsor Council · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

O'Reilly, C.A. and Tushman, M.L. (2004) 'The Ambidextrous Organization', *Harvard Business Review*, 82(4), pp. 74–81.

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Lawrence, P.R. and Lorsch, J.W. (1967) *Organization and Environment*. Boston: Harvard Business School Press.

10-Week Accelerator

SLIBRARY 20 · SHEET 3 / 5

Fixed programme · 5 teams · 10 clients · demo day

PROFESSIONAL DEFINITION

The 10-Week Accelerator is a specific corporate-accelerator format pioneered at DB Systel's Skydeck programme: five internal teams, ten weeks, structured curriculum, ten committed pilot clients, ending in a demo day. The compressed timeline forces evidence-based filtering — by week 10, each team has either pivoted, validated, or been killed. The format institutionalises Lean Startup at corporate scale by putting strict deadlines on customer-validation cycles (Skydeck team, 2018; Cohen, 2013).

WHO DEVELOPED IT

DB Systel's Skydeck programme (Deutsche Bahn's IT subsidiary) systematised the format from 2015 onwards; the broader corporate-accelerator pattern was characterised by Susan Cohen's research at the University of Georgia (2013, 2018) and synthesised in the Global Accelerator Learning Initiative reports.

WHY IT WAS DEVELOPED

Open-ended internal-incubator programmes consumed time and money without forcing decisions. The 10-week format imposes a hard deadline that filters teams, creates urgency, and ensures pilot-client commitments produce real-market evidence rather than internal speculation.

FIGURE 1 · TEN-WEEK CADENCE

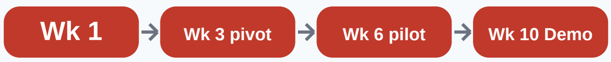

Figure 1. Hard deadlines force evidence-based decisions; by week 10, each team has pivoted, validated or been killed.

HOW IT IS USED

Recruit 5 internal teams against open call. Recruit 10 pilot clients before week 1. Run weekly milestone reviews. Match each team with a senior sponsor and an entrepreneur-in-residence. Demo Day at week 10 with sponsor-council scoring.

WHEN IT IS USED

Use in corporate-innovation contexts where internal teams need entrepreneurial discipline, when client-pilot access is a strategic asset, in transformation programmes, and as a structured alternative to open-ended incubator stays.

BY WHOM IT IS USED

Corporate-innovation programme directors, transformation leaders, internal accelerator managers, and HR business partners managing rotational entrepreneurial assignments.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Y Combinator (2005) ran 90-day external accelerators and Pinchot's (1985) intrapreneuring concept lacked formal structure, the 10-Week Accelerator's contribution is the corporate-context-specific format with pre-committed pilot clients. Building on Cohen's (2013) accelerator research, it makes internal Lean Startup execution rhythmically reliable.

RELATED FRAMEWORKS IN THIS COURSE

- Corporate Accelerator · Slibrary 19
- Skunk Works Model · Slibrary 20
- Sponsor-Engineer Model · Slibrary 20
- Demo Day · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Cohen, S. (2013) 'What Do Accelerators Do? Insights from Incubators and Angels', *Innovations: Technology, Governance, Globalization*, 8(3–4), pp. 19–25.

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Weiblen, T. and Chesbrough, H.W. (2015) 'Engaging with Startups to Enhance Corporate Innovation', *California Management Review*, 57(2), pp. 66–90.

Skydeck Team (2018) *The DB Systel Skydeck Playbook*. Frankfurt: DB Systel.

Sponsor-Engineer Model

SLIBRARY 20 · SHEET 4 / 5

Senior sponsor clears friction; engineer-founder executes

PROFESSIONAL DEFINITION

The Sponsor-Engineer Model is a venture pairing pattern: a senior corporate sponsor (typically VP+ level) clears organisational friction — budget approvals, procurement, HR exceptions, political cover — while an engineer-founder (the venture's entrepreneur-in-residence) executes on product-and-market work. The pairing distributes authority and hustle: sponsors carry corporate authority, engineers carry execution speed. Many failed intrapreneurship programmes failed because they had only one of the two roles (Pinchot, 1985; Burgelman, 1983).

WHO DEVELOPED IT

The pattern was named in Pinchot's *Intrapreneuring* (1985) as the "sponsor" role; Burgelman's (1983) corporate-venturing research at Stanford documented the parallel "product champion" role. The pairing as an explicit design pattern was institutionalised through the 2010s in corporate accelerators.

WHY IT WAS DEVELOPED

Solo intrapreneurs without senior sponsorship were defeated by corporate antibodies; senior sponsors without committed engineer-founders presided over zombie projects that drifted. The pairing addressed both failure modes by making each role's responsibilities explicit and complementary.

FIGURE 1 · TWO ROLES

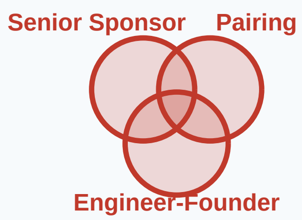

Figure 1. The pairing distributes authority and execution; many programmes fail by having only one role.

HOW IT IS USED

Pair each venture with a senior sponsor (10–20% time, accountable for cleared friction) and a dedicated engineer-founder (100% time, accountable for product and market). Define each role's authority and metrics. Re-pair if either role fails; don't try to merge them.

WHEN IT IS USED

Use in corporate-innovation programmes, in internal-incubator structures, in transformation initiatives requiring cross-departmental cooperation, and as the staffing pattern for any high-stakes intrapreneurship venture.

BY WHOM IT IS USED

C-suite leaders sponsoring innovation, corporate-innovation programme directors, HR business partners managing intrapreneur pipelines, and senior managers selected as sponsors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Burgelman's (1983) product-champion concept named one role and Pinchot's (1985) sponsor concept named the other, the explicit pairing's contribution is the integrated operating model. Building on Lawrence and Lorsch's (1967) differentiation-and-integration tradition, it gives intrapreneurship a teachable role architecture.

RELATED FRAMEWORKS IN THIS COURSE

- Skunk Works Model · Slibrary 20
- Internal Incubator · Slibrary 19
- 10-Week Accelerator · Slibrary 20
- Sponsor Council · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

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Innovation Outpost

SLIBRARY 20 · SHEET 5 / 5

Silicon Valley presence to scout and partner with external startups

PROFESSIONAL DEFINITION

An Innovation Outpost is a small (5–25 person) corporate office in a startup hub (typically Silicon Valley, Tel Aviv, Berlin, or Shenzhen) tasked with scouting external innovation, building partnerships with startups, and maintaining intelligence on platform-shift threats. Outposts complement (rather than replace) headquarters R&D; their value is access and proximity to external ecosystems. Examples include BMW's Mountain View office, BNP Paribas's Plug and Play, and Telefónica's Wayra hubs (Brunswicker and Chesbrough, 2018).

WHO DEVELOPED IT

Innovation Outposts emerged through 2010s corporate-innovation practice; characterised academically by Sabine Brunswicker and Henry Chesbrough's research on open innovation. Concept synthesises elements from Chesbrough's (2003) open innovation paradigm with practical outpost-management literature.

WHY IT WAS DEVELOPED

Headquarters R&D; missed external developments emerging in startup ecosystems faster than corporate intelligence could surface them. Outposts placed senior corporate scouts physically inside ecosystems, getting real-time market intelligence and partnership-pipeline access that distance-based scanning could not match.

FIGURE 1 · OUTPOST MANDATE

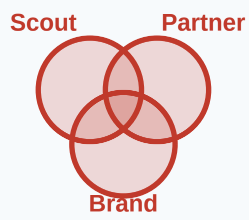

Figure 1. Outposts trade headquarters efficiency for ecosystem proximity; their value is access and intelligence.

HOW IT IS USED

Establish small office in a target ecosystem. Staff with senior corporate-development talent (not junior ambassadors). Define mandate: scout, partner, invest, brand. Set portfolio metrics. Connect tightly to headquarters strategy and CVC fund.

WHEN IT IS USED

Use when external startup ecosystems materially affect corporate strategy, in industries facing platform shifts, when CVC investment activity is significant, and as a market-intelligence and partnership-pipeline mechanism.

BY WHOM IT IS USED

Corporate-strategy leaders, CVC fund managers, business-development executives, and corporate-development teams managing acquisition pipelines.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Chesbrough's (2003) open innovation framed the strategy and Cohen and Levinthal's (1990) absorptive-capacity research framed the capability, the Innovation Outpost's contribution is the physical-presence operational answer. Building on Bartlett and Ghoshal's (1989) transnational-corporation tradition, it gives open innovation a geographic execution model.

RELATED FRAMEWORKS IN THIS COURSE

- Corporate VC (CVC) · Slibrary 19
- Corporate Accelerator · Slibrary 19
- Spin-out / Spin-in · Slibrary 19
- Skunk Works Model · Slibrary 20

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Stage-Gate Process

SLIBRARY 21 · SHEET 1 / 5

Ideation · Scoping · Business Case · Development · Testing · Launch

PROFESSIONAL DEFINITION

Robert Cooper's Stage-Gate Process structures innovation as a sequence of stages separated by formal gates where decisions are made: continue, hold, redirect, or kill. The classical six-stage form covers Ideation, Scoping, Business Case, Development, Testing, and Launch. Each gate enforces explicit decision criteria and senior-leadership review. Stage-Gate dominated mature-firm innovation governance through the 1990s–2010s (Cooper, 1990, 2014).

WHO DEVELOPED IT

Robert G. Cooper, Professor at McMaster University, in his 1990 *Business Horizons* paper and elaborated through dozens of subsequent publications and the influential *Winning at New Products* (multiple editions). Built on phase-review processes used at firms like 3M and Du Pont since the 1960s.

WHY IT WAS DEVELOPED

Mature firms had hundreds of innovation projects competing for resources, and most failed at launch rather than at concept. Cooper's contribution was to move the kill decision earlier — to gates where weak projects were stopped before consuming development resources, releasing capital for stronger candidates.

FIGURE 1 · SIX STAGES

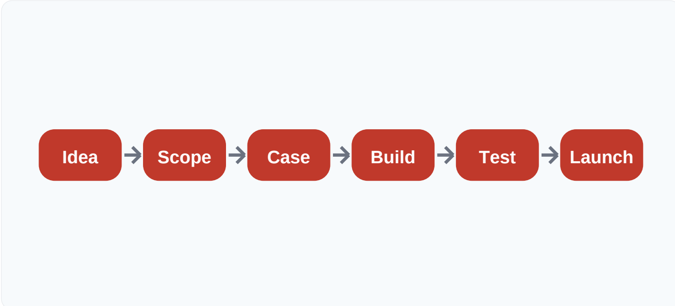

Figure 1. Six stages × five gates. Kill decisions move earlier, releasing capital for stronger candidates. Adapted from Cooper (1990).

HOW IT IS USED

Define the stages and gates explicitly. Set entry criteria for each gate (deliverables, evidence, business-case quality). Senior-leader gatekeepers make explicit go/hold/redirect/kill decisions. Track portfolio metrics (kill rate, cycle time, success rate).

WHEN IT IS USED

Use in mature-firm innovation governance, in regulated industries (pharma, aerospace) where compliance demands explicit gates, in M&A; integration of new product programmes, and as the discipline-counterweight to Lean Startup practices.

BY WHOM IT IS USED

Innovation portfolio managers, R&D; directors, senior gatekeepers, programme management offices (PMOs), and consultants advising on innovation-process redesign.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where pre-1990 innovation governance was either ad-hoc or rigid waterfall, Cooper's contribution is the formalised gate-decision discipline that aligns kill decisions with evidence stages. Building on Crawford's (1980s) NPD literature and Booz Allen's (1960s) phased-development models, Stage-Gate became the dominant mature-firm innovation governance pattern.

RELATED FRAMEWORKS IN THIS COURSE

- Sponsor Council · Slibrary 21
- Kill Criteria · Slibrary 21
- Demo Day · Slibrary 21
- Riskiest Assumption Test · Slibrary 15

SOURCES (HARVARD REFERENCING STYLE)

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Sponsor Council

SLIBRARY 21 · SHEET 2 / 5

Senior council allocates capital, reviews gates, kills underperformers

PROFESSIONAL DEFINITION

A Sponsor Council is a standing senior-executive body responsible for governing a corporate-innovation portfolio: allocating capital across ventures, reviewing each venture at gate decisions, and making explicit kill or continuation calls. The council sits between individual venture sponsors and the C-suite, providing both shielding (from political interference) and discipline (forcing explicit decisions). Distinct from a steering committee in having budget authority, not advisory function (Govindarajan and Trimble, 2010).

WHO DEVELOPED IT

The pattern was articulated in Vijay Govindarajan and Chris Trimble's *The Other Side of Innovation* (2010) drawing on multi-year case research at IBM, Lockheed, and others. Conceptual roots in Burgelman's (1983) corporate-venturing research and Cooper's (1990) Stage-Gate gatekeeper concept.

WHY IT WAS DEVELOPED

Individual venture sponsors were vulnerable to political pressure when their ventures faced kill decisions; ventures protected by powerful sponsors lived past their sell-by date. The Sponsor Council distributed authority across multiple senior leaders, making kill decisions structural rather than personal.

FIGURE 1 · COUNCIL FUNCTIONS

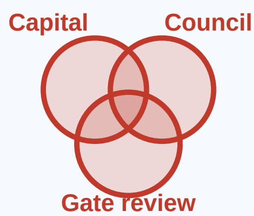

Figure 1. Distributed senior authority makes kill decisions structural rather than personal.

HOW IT IS USED

Establish a 5–8 person council of senior executives (VP+) with explicit charter, regular meeting cadence (typically monthly), and documented decision criteria. Council reviews each portfolio venture at gate decisions and makes explicit kill/hold/continue/double-down calls.

WHEN IT IS USED

Use in corporate-innovation portfolios with multiple concurrent ventures, in transformation programmes, in pharma and biotech R&D; portfolio governance, and as the senior-governance pattern beneath stage-gate processes.

BY WHOM IT IS USED

C-suite executives serving on councils, corporate-innovation programme directors, transformation officers, and intrapreneurs whose ventures are reviewed by the council.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Cooper's (1990) Stage-Gate named single gatekeepers and Burgelman's (1983) research described product-champion-vs-organisation dynamics, Govindarajan and Trimble's contribution is the multi-leader-council structure that distributes authority. Building on agency-theory governance research (Sahlman, 1990), it gives intrapreneurship its mature governance pattern.

RELATED FRAMEWORKS IN THIS COURSE

- Stage-Gate Process · Slibrary 21
- Kill Criteria · Slibrary 21
- Internal Term Sheet · Slibrary 21
- Sponsor-Engineer Model · Slibrary 20

SOURCES (HARVARD REFERENCING STYLE)

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O'Reilly, C.A. and Tushman, M.L. (2016) *Lead and Disrupt*. Stanford: Stanford Business Books.

Kill Criteria

SLIBRARY 21 · SHEET 3 / 5

Pre-committed conditions for stopping — no politics, just triggers

PROFESSIONAL DEFINITION

Kill Criteria are pre-committed, explicit conditions under which a venture is automatically stopped, defined before commitment so the kill decision is depoliticised. Each criterion is a measurable threshold ("if user-acquisition cost exceeds €X by month Y, kill") agreed by sponsor, council and venture lead. When a criterion triggers, the kill is administrative; only continuation requires fresh debate. The pattern inverts the political asymmetry where killing requires energy and continuing requires nothing (McGrath and MacMillan, 1995).

WHO DEVELOPED IT

Operationalised in Rita McGrath and Ian MacMillan's *Discovery-Driven Planning* (1995, 2009), which proposed pre-defined assumption-test thresholds that, when violated, constitute structural kill triggers. Popularised in corporate-innovation practice by O'Reilly and Tushman (2016) and Govindarajan and Trimble (2010).

WHY IT WAS DEVELOPED

Underperforming ventures persisted because kills required positive senior decisions and continuation required nothing. McGrath and MacMillan's reframe inverted the asymmetry: pre-committed criteria make the kill structural and the continuation the explicit positive decision.

FIGURE 1 · PRE-COMMITTED TRIGGERS

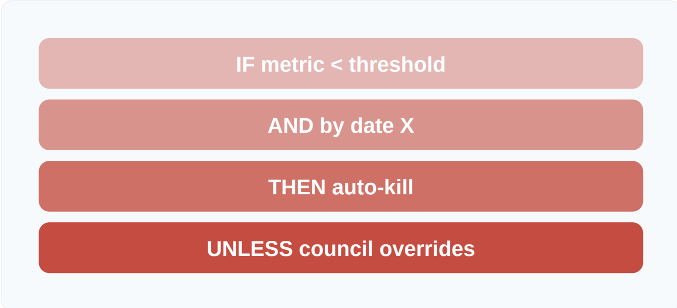

Figure 1. Inverting the political default: kill is structural, continuation requires positive decision.

HOW IT IS USED

Before commitment, define 3–5 measurable criteria each linked to a specific risky assumption. Set thresholds and review cadence. When a threshold is violated, kill is automatic unless a council vote affirmatively continues; reverse the political default.

WHEN IT IS USED

Use at every stage gate, in portfolio governance, in venture-capital staged-funding, in corporate-innovation programme charters, and in any high-uncertainty environment where commitment-bias is a risk.

BY WHOM IT IS USED

Innovation portfolio managers, sponsor councils, venture sponsors, senior gatekeepers, and consultants advising on corporate-innovation governance redesign.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Cooper's (1990) Stage-Gate left kill decisions to gatekeeper judgement and Janis's (1972) groupthink research showed why personal kill decisions get politically blocked, McGrath and MacMillan's contribution is the structural depoliticisation through pre-committed criteria. Building on Klein's (2007) pre-mortem tradition, it gives kill decisions auditable triggers.

RELATED FRAMEWORKS IN THIS COURSE

- Stage-Gate Process · Slibrary 21
- Sponsor Council · Slibrary 21
- Pre-Mortem · Slibrary 11
- Riskiest Assumption Test · Slibrary 15

SOURCES (HARVARD REFERENCING STYLE)

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Demo Day

SLIBRARY 21 · SHEET 4 / 5

Fixed endpoint — teams pitch to leadership and external investors

PROFESSIONAL DEFINITION

Demo Day is the fixed-date, structured-pitch event that closes an accelerator or innovation cohort: each team pitches their venture to senior leadership, external investors and corporate partners. Demo Day's primary function is forcing closure — the date is committed regardless of team readiness, ensuring evidence-or-pivot decisions happen on calendar time. The format originated at Y Combinator (2005) and has been imported into corporate-innovation contexts since (Cohen, 2013; Graham, 2007).

WHO DEVELOPED IT

Y Combinator under Paul Graham launched the modern Demo Day format in 2005; corporate adaptation was institutionalised through the 2010s by accelerator programmes including DB Systel's Skydeck, Telefónica's Wayra, and Microsoft's accelerator. Cohen's (2013) accelerator research is the academic synthesis.

WHY IT WAS DEVELOPED

Open-ended innovation programmes drifted; teams polished without shipping. Y Combinator's Demo Day forced a hard external deadline that created urgency, evidence-discipline, and structured-feedback events impossible to replicate inside a continuous programme.

FIGURE 1 · COHORT → DEMO DAY

Figure 1. Demo Day's external-audience deadline forces evidence-or-pivot decisions on calendar time.

HOW IT IS USED

Set demo-day date 10–13 weeks from cohort kickoff. Pre-commit external attendees (investors, partners, executives). Coach teams toward demo-day-shaped pitches. Run the day with structured pitch slots, networking, and feedback collection.

WHEN IT IS USED

Use to close every cohort programme, as a forcing function for internal-venture portfolio reviews, and as the structural endpoint for any time-boxed innovation programme.

BY WHOM IT IS USED

Accelerator programme directors, corporate-innovation leaders, venture-arm directors, and HR business partners running internal entrepreneurial cohorts.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Cooper's (1990) Stage-Gate process used internal gate reviews and pre-2005 incubators had open-ended timelines, Y Combinator's contribution is the external-audience forcing event. Building on academic-conference deadline-discipline traditions, Demo Day became the canonical accelerator endpoint.

RELATED FRAMEWORKS IN THIS COURSE

- 10-Week Accelerator · Slibrary 20
- Corporate Accelerator · Slibrary 19
- Stage-Gate Process · Slibrary 21
- Sponsor Council · Slibrary 21

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Internal Term Sheet

SLIBRARY 21 · SHEET 5 / 5

Venture-style commitment: capital for milestones, dilution for tranches

PROFESSIONAL DEFINITION

An Internal Term Sheet is a venture-capital-style commitment document used inside a corporate venture programme: capital is committed against pre-specified milestones (matching specific kill criteria), with follow-on tranches contingent on milestone achievement. The team "raises" each tranche on a quasi-VC playbook. The structure imports VC governance into corporate intrapreneurship, creating accountability and discipline that traditional corporate-budget allocation lacks (Govindarajan and Trimble, 2010; Pinchot, 1985).

WHO DEVELOPED IT

The pattern was named in Pinchot's *Intrapreneuring* (1985) as part of his vision of internal venture-capital markets; operationalised in modern form through Govindarajan and Trimble's *The Other Side of Innovation* (2010) and corporate-accelerator practice from 2010 onwards.

WHY IT WAS DEVELOPED

Traditional corporate-budget allocation gave entire annual budgets up front, removing the in-flight discipline VC investors apply. The Internal Term Sheet imports VC milestone-tranche discipline, creating mid-programme accountability and forcing teams to demonstrate progress to earn the next tranche.

FIGURE 1 · TRANCHE STRUCTURE

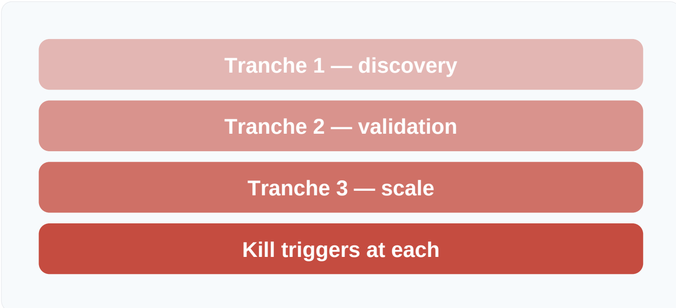

Figure 1. Each tranche is contingent on milestone achievement; the venture "raises" each round on a quasi-VC playbook.

HOW IT IS USED

Draft a term sheet specifying initial tranche, follow-on tranches contingent on milestones, kill criteria, board representation (sponsor council), and dilution mechanics if external capital co-invests. Treat the venture as if it had raised externally.

WHEN IT IS USED

Use in corporate-innovation programme structures, in formal intrapreneurship cohorts, in M&A; integration of acquired ventures, and as the financing pattern when corporate-venture programmes mature beyond ad-hoc allocations.

BY WHOM IT IS USED

Corporate-innovation programme directors, venture-arm leaders, sponsor councils, CFOs sponsoring innovation budgets, and intrapreneurs leading specific ventures.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where traditional corporate-budget allocation lacks in-flight discipline and Cooper's (1990) Stage-Gate gates focused on technical readiness, the Internal Term Sheet's contribution is the import of VC-style milestone-tranche financing into corporate contexts. Building on Sahlman's (1990) venture-finance research, it gives intrapreneurship its mature financing pattern.

RELATED FRAMEWORKS IN THIS COURSE

- Sponsor Council · Slibrary 21
- Stage-Gate Process · Slibrary 21
- Kill Criteria · Slibrary 21
- Cap Table Dynamics · Slibrary 17

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